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KSE-100 V

177,083

▼ 0.63% Tue ·
-1,117 pts

S&P 500 V

▲ **1.79%**

Nasdaq +2.59% ·
Dow +1.71%

US 10Y / 2Y V

4.63 / 4.21

Warsh hold · Sept
hike odds ~65%

BRENT / WTI V

\$79.36 / \$75.77

▼ 5%+ · Hormuz
hopes

GOLD V

\$4,075

+0.5% · silver
\$58.63

USD/PKR V

279.00

interbank · steady

01 Five Things You Need To Know To Start Your Day

WALL STREET RECORDS

The **S&P 500 (+1.79%)**, **Dow (+1.71%, above 54,000 for the first time)** and **Nasdaq (+2.59%)** all closed at records on Tuesday as easing US-Iran tensions over the Strait of Hormuz and a tech rebound drove the strongest rally in months ([CNN](#), [CNBC](#)). Sentiment: **broadly firmer**.

PSX PROFIT-TAKING

The **KSE-100 fell 0.63% to 177,083.22** (-1,116.80 pts), giving back part of Monday's 1.20% surge as breadth turned negative — 161 advancers vs 295 decliners on 711.3m shares (Rs25.9bn) ([Express Tribune](#), [Trading Economics](#)). Sentiment: **consolidating after a rally**.

OIL SLIDES ON HORMUZ HOPES

Brent (-5.3% to \$79.36) and **WTI (-5.7% to \$75.77)** tumbled as diplomacy hopes eased Strait of Hormuz supply risk, even as OPEC+ layered on 188,000 bpd of extra August supply ([Rigzone](#), [Saudi Gazette](#)). Sentiment: **disinflationary for importers**.

GOLD FIRM, FED MURKY

Gold held near \$4,075 and **silver near \$58.63** as Fed Chair Kevin Warsh's hawkish-tinted 29 July hold left markets pricing roughly a 65% chance of a September *hike* rather than a cut ([CNBC](#)). Sentiment: **cautiously firm**.

PAKISTAN MACRO EASING

CPI eased to 9.2% YoY in July from 11.1% in June, giving the **SBP room to hold its policy rate at 11.5%** for a second straight meeting, while Gulf non-oil PMIs (Saudi 53.1, UAE 55.8) stayed comfortably expansionary ([Business Recorder](#), [AGBI](#)). Sentiment: **improving macro backdrop**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Tuesday's session saw the **KSE-100** retreat 0.63% to **177,083.22**, shedding 1,116.80 points as institutional profit-taking followed Monday's 1.20% surge to 178,200.02. Breadth turned negative — 295 decliners against 161 advancers on 711.3 million shares (Rs25.9bn) — with **Trading Economics** confirming the pullback. Meezan Bank, PSO, Kapco, Power Cement and Millat Tractors added a combined 175 points, but UBL, Engro Holdings, OGDC, Lucky Cement and PPL erased 580 points on selective profit-taking in banks and E&P names. On the macro front, **headline CPI eased to 9.2% YoY in July** from 11.1% in June, giving the **SBP room to hold its policy rate at 11.5%** for a second straight meeting. Six-month KIBOR is tracking near 11.70–11.90% (EST.). The **IMF's Executive Board cleared the third EFF/RSF review in May**, unlocking roughly \$1.2bn; the next mission, likely covering an Article IV consultation, is expected in H2 2026.

B. GCC & Middle East

Gulf oil producers added to August supply as seven **OPEC+ members agreed to raise output by 188,000 bpd**, split across Saudi Arabia, Russia, Iraq, Kuwait, Kazakhstan, Algeria and Oman, continuing the unwind of 2023's voluntary cuts. That extra supply landed just as **Brent slid 5.3% to a three-week low of \$79.36** on hopes for a reopened Strait of Hormuz — a double-barrelled bearish setup for crude that nonetheless keeps the Gulf's non-oil diversification story intact. **Saudi Arabia's non-oil PMI held at a still-robust 53.1 in July** (53.3 in June), while the **UAE's PMI eased to 55.8** from 57.1 — its slowest pace in three months, though new export orders hit a three-year high as demand broadened across the GCC and Europe, a supportive signal for Vision 2030-linked non-oil diversification.

C. Global Intelligence

Wall Street closed at fresh records on Tuesday — the **S&P 500 jumped 1.79% to 7,736.52**, the **Dow added 907 points (+1.71%) to close above 54,000** for the first time, and the Nasdaq surged 2.59% to 26,584.99, powered by a tech rebound, strong earnings, and easing US-Iran tensions over Hormuz. Bonds told a more cautious story: the 10-year yield sits near 4.63% and the 2-year at 4.21%, with **markets pricing roughly a 65% chance the Fed hikes rather than cuts in September** after Chair Kevin Warsh's hawkish-sounding hold on 29 July rattled the inflation-credibility narrative. Separately, Washington's trade agenda intensified: a **50% ad valorem tariff on Canadian goods** takes effect 19 August, alongside **Section 301 forced-labor duties of 10–12.5% on roughly 60 economies** that took effect 24 July.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Finance Act 2026 rolls out a 5% withholding tax on social media revenue and a National Faceless Center for algorithm-based tax audits/appeals, effective 1 July 2026.	Tax/Compliance, Media, Retail	Wins: FBR digitisation vendors, compliant formal-sector filers. Losses: social-media creators/platforms, cash-heavy informal retailers facing a tighter net.
GCC — Saudi/UAE	Saudi Arabia's new Companies Law mandates beneficial-ownership disclosure and a unified commercial register; the UAE's Cabinet Decision No. 59 of 2026 competition-law regulations took effect 30 July.	M&A, Financial Services, Corporates	Wins: institutional investors and dealmakers gaining transparency, multinationals already compliant. Losses: opaque shell structures, SMEs absorbing new compliance overhead.
Global — US/Canada	Washington's 50% tariff on Canadian goods (cement, furniture, textiles) takes effect 19 August; Section 301 forced-labor tariffs of 10–12.5% on roughly 60 economies are already live since 24 July.	Trade, Manufacturing, Retail	Wins: US domestic manufacturers in tariffed categories. Losses: Canadian exporters, US importers/retailers and consumers facing higher input costs.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

176,000

psychological/round-number floor; deeper support at 174,500

PIVOT EST.

177,083

Tuesday's close

RESISTANCE EST.

178,200

Monday's close/session high; then 179,500

Desk view: Tuesday's pullback reads as profit-taking after a sharp two-session advance, not a trend reversal — breadth stayed negative (161 advancers vs 295 decliners) but large-cap banks and energy names absorbed most of the selling. **Global tailwinds hold:** a sharp Brent/WTI drawdown on Hormuz de-escalation hopes is disinflationary for Pakistan's import bill, and Wall Street's record run keeps risk appetite supportive for EM flows. Watch 176,000 as the first floor; a close below opens 174,500. On the upside, reclaiming 178,200 re-opens Monday's high near 179,500. All levels are indicative desk estimates, not recommendations.

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